

Question 1:

Question: Which of the following actions is associated with financing activities in a company's cash flow statement? I. Issuing new shares to investors II. Purchasing office equipment for immediate use III. Repaying long-term debt IV. Acquiring another company through the issuance of stocks

Type: multiple-choice

Options:

- a. I only
- b. III only
- c. I and III only
- d. II and IV only
- e. I, II, and III only

Question 2:

Question: In the context of business organizational forms, which of the following statements are accurate? I. Limited liability companies (LLCs) offer flexibility in management structure and pass-through taxation benefits II. A sole proprietorship is the simplest form to establish but offers no protection against personal financial risk III. Corporations can issue different classes of stock with varying levels of voting rights IV. In a general partnership, all partners are equally liable for business debts V. LLCs and S corporations allow for more relaxed governance rules compared to C corporations VI. Venture capitalists typically prefer investing in partnerships due to ease of management control

Type: multiple-choice

Options:

- a. I, II, III, and IV only

- b. II, III, IV, and V only
- c. I, III, IV, and VI only
- d. I, II, III, and V only
- e. I, II, IV, and V only

Question 3:

Question: A company issues two bonds, both with identical coupon rates but different maturities. Which bond would have a higher price sensitivity to changes in interest rates?

Type: multiple-choice Options:

- A. The bond with the shorter maturity
- B. The bond with the longer maturity
- C. Both bonds will be equally sensitive
- D. Neither bond is sensitive to interest rate changes
- E. It cannot be determined without knowing the coupon rate

Question 4:

Question: XYZ Corporation has issued four different bonds with varying maturities and coupon rates. Which of these bonds has the lowest interest rate risk? Bond X matures in 5 years with a face value of \$1,000 and an annual coupon payment of \$40. Bond Y will mature in 8 years and pays an annual coupon of \$60 based on a face value of \$1,000. Bond Z is a zero-coupon bond that matures in 20 years with a face value of \$2,500. Bond W has an annual coupon payment of \$30 and will mature in 10 years. Type: multiple-choice Options:

- a. Bond X
- b. Bond Y
- c. Bond Z
- d. Bond W
- e. Not enough information is available

Question 5:

Question: Two banks, QuickLoan and FastFinance, offer personal loans with different compounding frequencies but the same nominal annual interest rate. QuickLoan compounds monthly at an APR of 6%, while FastFinance compounds semi-annually. If a borrower wants to minimize the effective cost of borrowing, which bank should they choose? Type:

multiple-choice

Options:

- A. QuickLoan; because it has more frequent compounding periods.
- B. QuickLoan; due to its lower monthly period rate.
- C. FastFinance; since semi-annual compounding results in a lower EAR.
- D. FastFinance; as the annual percentage rate is identical to the effective annual rate.
- E. Both banks offer the same effective cost of borrowing regardless of compounding frequency.

Question 6:

Question: Omega Inc. has just paid a dividend of \$3 per share, with dividends expected to grow at a constant rate of 4% annually. The current market price of Omega Inc.'s stock is \$150. If an investor requires a return of 8%, what would be the capital gains yield and the dividend yield for the upcoming year? Type: multiple-choice

Options:

- A. 3%, 2%
- B. 4%, 2%
- C. 3%, 4%
- D. 4%, 3%

Question 7:

Question: A company issues bonds with a face value of \$1,000 and a maturity period of 25

years. These bonds pay coupons semi-annually and are currently selling for \$975. If the yield

to maturity is 6%, what is the annual coupon payment? Type: multiple-choice Options:

- a. \$45
- b. \$50
- c. \$55
- d. \$60
- e. \$65

Question 8:

Question: XYZ Corp just paid its first annual dividend of \$25 per share, with dividends expected to grow at an annual rate of 4% indefinitely. The company's stock price is currently trading at \$100 per share. If the market suddenly experiences a decrease in interest rates, which of the following outcomes would you expect based on the dividend growth model?

Type: multiple-choice

Options:

- A. An increase in all stock values.
- B. All stock values to remain constant.
- C. A decrease in all stock values.
- D. Dividend-paying stocks to maintain a constant price while non-dividend paying stocks increase in value.
- E. Dividend-paying stocks to increase in price while non-dividend paying stocks decrease in value.

Question 9:

Question: You have an investment opportunity that requires an initial outlay of \$250,000 at the start of this year. In return, you will receive annual payments of \$30,000 starting at the end of the first year and continuing for 15 years. If your goal is to earn a 7% annual return on

this investment, would you consider it a good deal? Type: multiple-choice

Options:

- A. Yes, because the present value of the annuity payments exceeds the initial outlay.
- B. No, because the present value of the annuity payments is less than the initial outlay.
- C. The break-even point occurs after 10 years.
- D. The investment's internal rate of return is below your required return of 7%.
- E. The total future value of the annuity payments at the end of year 15 is insufficient to justify the initial investment.

Question 10:

Question: Which of the following statements about yield curves and interest rate expectations

is correct? Type: multiple-choice Options:

- A. If the yield curve is flat, it indicates that short-term interest rates are expected to rise significantly more than long-term rates in the future.
- B. When the yield curve is inverted, it typically suggests that investors expect short-term interest rates to fall below long-term rates over time.
- C. An upward-sloping yield curve always implies high inflation expectations across all maturities.
- D. A steeply upward-sloping yield curve indicates stable economic conditions with no expected changes in interest rates or inflation.
- E. If the yield curve is downward sloping, it suggests that long-term interest rates are expected to rise above short-term rates in the near future.

Question 11:

Given today's date as January 1, 2023, you are planning for retirement on January 1, 2038.

You have two primary financial goals post-retirement: Goal 1 involves taking a vacation to Europe five months after retiring, requiring an initial lump sum withdrawal of \$95,000 for travel expenses. Goal 2 entails withdrawing monthly amounts starting at the end of the first month post-retirement and growing by 0.3% each month thereafter, aimed at covering daily and medical expenses over a period of 20 years. The annual percentage rate (APR) is set at

5%, compounded monthly.

- a. Calculate the total amount you need to save by your retirement date to meet both goals.
- b. Assuming your salary grows by an average of 0.15% per month and you plan to deposit 25% of your monthly income towards these savings, what would be your initial monthly salary if, upon reaching your retirement goal amount (as calculated in part a), it turns out that your monthly salary at the start is \$Y? Additionally, what will your monthly salary be when making your third deposit into this fund?

Question 12:

Question: XYZ Corporation issued a corporate bond with an annual coupon rate of 7% paid semiannually, which matures in 10 years from now. The bond has a par value of \$2,500 and is currently trading at a premium price of \$2,650. If the yield to maturity remains constant at 6%, what would be the current yield of this bond? Additionally, if after 5 years the market interest rates drop significantly causing the YTM to decrease to 4% and you decide to sell your bond at that point, calculate the holding period return for the bond over those five years.

Type: short-answer

Options: No options provided.

Question 13:

Company XY has secured a loan to build a new manufacturing plant, which will cost \$25 million. The construction period is expected to last for exactly five years, with payments from the client starting two months after completion. Seventy percent of the project costs are financed through a long-term bank loan that spans 25 years and requires monthly repayments. The annual percentage rate (APR) on this loan is 4%, compounded monthly.

- a. What will be the monthly repayment amount for Company XY?
- b. If, after receiving the final payment from the client but before making the next month's

scheduled loan repayment, Company XY decides to settle the entire remaining debt in a single balloon payment, how much would that payment be?

Question 14:

Question: In 2019, Delta Corp paid \$4 per share as a dividend to its shareholders. The company announced a plan where dividends would decrease by \$0.50 each year for three years due to planned expansions. After these three years, dividends were expected to resume growing at a rate of 3% annually indefinitely. In the fifth year, after completing the expansion projects, Delta Corp resumed dividend payments with an initial payment of \$2 per share and announced a growth rate increase by 1% every year until it reaches 5%, after which it would stabilize at this rate permanently. Given that the required return for Delta Corp's stock is 8%, what was the price of the stock on January 1st, 2019? Type: short-answer Options: No options provided.